

GALAXY GAMING INC GLXZ

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by

Supernova
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Price:	1.60	EPS	.28	.31
Shares Out. (in M):	26	P/E	5.7	5.2
Market Cap (in \$M):	42	P/FCF	7.1	6.2
Net Debt (in \$M):	33	EBIT	10	10
TEV (in \$M):	75	TEV/EBIT	0	0

Description

Elevator Pitch

Galaxy owns proprietary table games that it licenses to casinos. Approximately two years ago, Evolution agreed to acquire Galaxy for \$3.20 a share in cash. In July, Evolution walked away after waiting on Nevada regulatory approval that never came. Arbs sold. Fundamental investors who held through the two-year closing period faced another round of investor fatigue. And despite a history of good growth and returns, Galaxy doesn't screen well. There is no sell-side coverage. Galaxy is an orphaned, busted nanocap.

The company has a small moat via its brands, which have historically driven high returns and strong growth. Despite this, and a solid outlook, the stock trades at 5.7x 2026e cash EPS and 5.0x EV/EBITDA –a significant discount to historical levels, peers, and DCF value.

Investment Thesis

Capital Structure	
Stock Price	\$1.64
Shares outstanding	26.2
Market Cap.	\$43.0
Net Debt	(\$33.1)
Break-up Fee	\$5.2
Enterprise Value	\$70.9

Description

Galaxy Gaming designs, acquires, and licenses proprietary casino games. These aren't big, clunky slot machines; they're table games and side bets that typically involve just licensing the brand printed on a piece of felt. They own five of the top seven blackjack side bets in the world, according to the company. Some of their most popular games include 21+3, Lucky Ladies, Perfect Pairs, EZ-Baccarat, High Card Flush, and Three Card Poker.

Galaxy has two segments: Core and Digital. Core sells to traditional casinos and represents 62% of total sales. The digital segment sells to online casinos and aggregators like Evolution and represents 38% of total sales. The 2020 purchase of Progressive Games Partners (PGP), its European iGaming distributor, essentially created the digital segment.

Understanding The Business

Galaxy makes money three ways: monthly fees per billable unit on casino tables, a share of online wagering revenue on its titles, and occasional one-time sales of progressive systems. A blackjack table can carry up to four billable units – two side bets and a progressive jackpot on each – so Galaxy grows by adding casinos, adding tables within a casino, and adding units per table. The unit economics look roughly like this:

Approximate Unit Economics	
Price per item per month	\$178
# of billable items/table/month	1.5
Revenue per table per month	\$267
Months	12
Annual revenue per table	\$3,204
# of tables	6,000
Revenue	\$19,224,000

source: company transcripts

Online, the math is simpler. An aggregator like Evolution puts a Galaxy title in hundreds of online casinos and pays Galaxy a share of the net win. For Galaxy-owned titles, the margin is close to 100%; for licensed titles, Galaxy pays royalties and keeps roughly 70%.

Once a regulator approves a game, the license costs Galaxy almost nothing to deliver. A progressive system requires hardware that Galaxy usually owns and depreciates over three years. Contracts with traditional casinos are typically month-to-month. With extremely high gross margins (>90% excluding intangible amortization) and relatively fixed SG&A, incremental margins should be over 60%.

Key Changes To The Capital Structure

The main difference between Galaxy today and pre-deal is a major shift in the capital structure and the lower cost of that capital today, which is driving higher free cash flow per share and today's compelling valuation.

In 2021, as a result of a protracted legal settlement no longer relevant to the story, Galaxy bought out its controlling shareholder, acquiring over 50% of shares in one swoop. This required taking on significant and expensive debt – \$60MM at LIBOR + 7.75% variable rate via Fortress. This put significant strain on the company's financials. Leverage increased to 4.5x net debt/EBITDA. Interest expense increased more than 10-fold, from \$.7MM to \$9.1MM. Earnings and free cash flow turned negative.

In 2025, the company refinanced the Fortress loan on far more favorable terms of SOFR + 3.5% variable rate with BMO. Further, net leverage is now under 3.0x, resulting in a step-down in the loan rate to LIBOR + 3.0%. As a result, run-rate annual interest expense has fallen from \$9.1MM just two years ago to ~\$3.1MM this year, adding \$.24 to pre-tax EPS (almost 100% of estimated cash EPS in 2026). At the same time, the share count has fallen from 41.2MM to 26.2MM due to the buyout, and should fall to 24.6MM by year-end due to the recently announced buyback. (Evolution paid Galaxy a \$5.2MM termination fee, a not insignificant 12% of its market cap. They are using \$4MM to buy back stock & warrants and \$1MM to pay down debt.)

Compelling Financials

If you peek at the historical financials, you'll see strong and consistent sales and EBITDA growth, excluding COVID:

	12/2016	12/2017	12/2018	12/2019	COVID 12/2020	12/2021	12/2022	12/2023	12/2024	12/2025
Income Statement (\$MM)										
Revenues	12.5	14.9	18.6	21.3	10.2	20.0	23.4	27.8	31.7	30.9
COGS	1.8	2.0	2.0	2.5	2.6	3.2	3.2	3.8	4.6	4.0
Gross Income	10.6	12.9	16.6	18.8	7.6	16.8	20.3	24.0	27.1	26.9
SG&A	7.2	10.4	12.6	14.8	9.9	12.5	14.2	17.3	17.9	17.5
EBITDA	5.1	4.3	5.8	6.3	0.3	7.4	9.1	9.2	12.3	12.9
EBITDA margin	40.9%	28.7%	31.3%	29.5%	2.9%	37.2%	38.7%	33.3%	38.9%	41.7%

Sales and EBITDA have grown at an 11% CAGR over the last decade, mostly organic. They have made only one acquisition in the past decade – the \$12.4MM acquisition of PGP. Sales growth slowed last year, falling 2.7%, because perpetual system sales dropped by \$2.3 million. Management has been de-emphasizing perpetual sales, which has hurt short-term sales growth but should benefit recurring revenue and future sales growth. In core, recurring license revenue was flat in 2025 and grew 6% in 2Q26.

The digital segment has been growing rapidly as the mix shifts to online gaming. Sales grew in the low-to-mid teens from 2022 to 2025. Digital sales rose 13% in 2025 and 11% in 2Q26.

While the topline has grown consistently (ex-COVID), you may notice GAAP EPS has been all over the place, sometimes negative. There are a few reasons for this:

1. The large debt-financed share buyout had no impact on sales or EBITDA, but a huge impact on EPS given the swing in interest expense.
2. Intangible amortization is \$.07/share..
3. Significant one-time expenses such as professional fees related to the Evolution merger in 2024, 2025, and 2026; and a large "loss on extinguishment of debt" related to refinancing its Fortress loan in 2025.

	12/2016	12/2017	12/2018	12/2019	12/2020	12/2021	12/2022	12/2023	12/2024	12/2025
Interest Expense	(1.2)	(1.7)	(1.0)	(1.2)	(0.7)	(1.5)	(7.4)	(9.1)	(9.1)	(3.6)
Non-recurring Items	0.1	(0.4)	(1.5)	(0.0)	0.1	(0.6)	(0.0)	0.0	(3.5)	(4.2)
Intangible Amortization	1.5	1.5	1.5	1.5	1.9	2.6	2.5	1.8	2.0	2.2
GAAP EPS	\$0.04	(\$0.00)	\$0.03	\$0.11	(\$0.12)	\$0.10	(\$0.07)	(\$0.07)	(\$0.10)	\$0.06

These non-operating expenses have depressed earnings in recent years and obscure a healthy business underneath.

Margins are above long-term norms, which may lead a naive reader to conclude Galaxy is over-earning today. However, margins have expanded as the mix has shifted to higher-margin digital sales, which should be sustainable. As online gaming continues to grow, margins should benefit further. Over time I would expect them to give some of this back as contracts with EVO and others come up for renewal. Margins have also benefited from lower perpetual license sales, which should be sustained.

ROIC (fully taxed) has consistently been in the 20s over the past decade, ex-COVID. Their tax rate has been close to zero, but I fully taxed it for illustration and analytical purposes.

	12/2016	12/2017	12/2018	12/2019	12/2020	12/2021	12/2022	12/2023	12/2024	12/2025
Return On Invested Capital										
EBIT	3.4	2.5	4.0	4.1	(2.3)	4.3	6.1	6.7	9.2	9.4
Intangible Amortization	1.5	1.5	1.5	1.5	1.9	2.6	2.5	1.8	2.0	2.2
EBITA	4.9	4.0	5.5	5.6	(0.3)	7.0	8.5	8.6	11.2	11.6
Hypothetical Taxes at 22% Tax Rate	1.1	0.9	1.2	1.2	(0.1)	1.5	1.9	1.9	2.5	2.6
NOPAT	3.8	3.1	4.3	4.4	(0.3)	5.4	6.7	6.7	8.8	9.1
Reported Equity	4.6	5.5	7.5	(27.6)	(24.8)	(17.3)	(17.9)	(18.2)	(20.1)	(17.5)
Accumulated Intangible Amortization	1.5	3.0	4.5	6.0	7.9	10.5	13.0	14.8	16.9	19.1
Adjusted Equity	6.1	8.5	12.0	(21.6)	(16.9)	(6.7)	(4.9)	(3.4)	(3.2)	1.6
Long-Term Debt	9.9	8.6	10.1	47.9	51.9	53.2	53.9	54.1	55.0	39.0
Excess Cash	2.4	3.6	6.3	9.7	6.0	16.1	18.2	16.7	18.1	4.3
Total Net Debt	7.5	5.0	3.8	38.5	46.1	37.4	35.9	37.6	37.1	35.0
Total Invested Capital	13.7	13.5	15.8	16.9	29.3	30.7	31.0	34.2	33.9	36.6
ROIC	28.0%	23.1%	27.1%	25.8%	-0.9%	17.7%	21.4%	19.5%	25.8%	24.8%
Gross Intangibles	(14.4)	(14.5)	(14.5)	(14.5)	(25.1)	(25.3)	(28.0)	(28.7)	(29.4)	(30.4)
Tangible Equity	(8.2)	(6.0)	(2.5)	(36.2)	(42.0)	(32.1)	(32.9)	(32.1)	(32.6)	(28.8)
Total Invested Tangible Capital	(0.7)	(1.0)	1.3	2.4	4.1	5.4	3.0	5.5	4.5	6.2
Tangible ROIC	N/A	N/A	336.1%	184.6%	N/A	101.3%	219.6%	120.7%	193.1%	146.3%

Free cash flow has suffered from some of the same issues that have impacted earnings. Further, capex began to diverge sharply from historical levels in recent years, weighing on FCF. Prior to 2022, capex averaged less than \$100k a year. Since then, capex has averaged \$3.3MM. That difference may not sound like much, but this is a tiny company! It's almost half of 2025 economic EPS.

The increase in capex reflects 1) the launch of the Galaxy Operating System (a game management system for dealers), and 2) management's decision to de-emphasize perpetual licenses of progressive games. Each requires hardware: touchscreen pads for dealers, sensors and LED lights built into game tables, and digital signs. Management has chosen to retain ownership of the equipment and game license and lease them because this has a higher NPV than a one-time sale.

This decision to stop selling perpetual licenses has negatively impacted sales growth over the past couple of years, but it has increased margins. It also increases recurring revenue, earnings consistency, and the game's lifetime value. It should theoretically improve valuation.

Capex will remain at these higher levels as long as they sell GOS and progressives, but this is growth capex and is a good use of capital. Maintenance capex is di minimus. I've modeled economic earnings-to-FCF conversion at 85% assuming capex remains at current levels. If growth slows, it will approach 100%.

Prospective Organic Growth

The core business that sells to physical casinos appears mature, while digital is driving growth. On a normalized basis, I expect the core business to grow roughly in line with GDP, while digital grows in the high single digits as states legalize online gaming. Currently, only eight states have legalized online gaming. Budgetary pressures will likely lead to continued approvals.

Other growth drivers include their deal with Hasbro to develop board games into casino games. Galaxy released Monopoly as a progressive side bet to blackjack earlier this year. They recently announced the game was shortlisted for the Global Gaming Awards Americas 2026, the Oscars of gaming awards, in the product innovation of the year category.



They also recently announced a partnership with a leading social gaming provider, Ruby Seven Studios, that could provide a new, smaller growth leg.

In a mature industry, Galaxy has grown sales and EBITDA organically at ~10% during the past decade. At the current valuation, Galaxy doesn't need to grow, but achieving mid-single-digit growth seems like a reasonable baseline for future organic sales growth, with EBITDA possibly growing a little faster as high-margin digital sales continue to grow as a % of the mix.

Here is how I've modeled the next couple of years:

	12/2023	12/2024	12/2025	12/2026	12/2027	12/2028
Income Statement (\$MM)						
Revenues	27.8	31.7	30.9	31.8	33.1	34.4
COGS	3.8	4.6	4.0	4.1	4.3	4.4
Gross Income	24.0	27.1	26.9	27.7	28.8	30.0
SG&A	17.3	17.9	17.5	18.0	18.7	19.5
EBITDA	9.2	12.3	12.9	13.6	14.3	15.0
EBITDA margin	33.3%	38.9%	41.7%	42.6%	43.2%	43.6%
Operating Income	6.7	9.2	9.4	9.7	10.1	10.5
Operating Margin	24.2%	29.1%	30.5%	30.5%	30.5%	30.5%
Operating Margin ex Intang. Arr	30.8%	35.4%	37.7%	37.5%	37.2%	36.9%
Interest Expense	(9.1)	(9.1)	(3.6)	(3.1)	(2.6)	(2.1)
Interest Income	0.6	0.8	0.0	0.0	0.0	0.0
Income before Taxes	(1.7)	1.0	5.8	6.6	7.5	8.5
Non-recurring Items	0.0	(3.5)	(4.2)	(0.3)	(0.3)	(0.3)
Taxes	0.1	0.1	0.1	1.5	1.7	1.9
Net Income	(1.8)	(2.6)	1.5	4.9	5.6	6.3
Net Income Margin	-6.5%	-8.3%	4.8%	15.4%	16.8%	18.3%
GAAP EPS (calculated)	(\$0.07)	(\$0.10)	\$0.06	\$0.20	\$0.23	\$0.26
Economic EPS	\$0.00	\$0.08	\$0.27	\$0.28	\$0.31	\$0.34
Fully-diluted shares	25.5	25.7	26.2	24.6	24.6	24.6

Economic Earnings						
GAAP EPS	(\$0.07)	(\$0.10)	\$0.06	0.21	0.24	0.27
+ A/T Intangible Amortization	(0.07)	(0.08)	(0.08)	0.07	0.07	0.07
+ A/T Non-recurring items	-	(0.11)	(0.13)	-	-	-
Economic EPS	\$0.00	\$0.08	\$0.27	0.28	0.31	0.34
Economic EPS Growth	-100.7%	6615.2%	220.0%	4.7%	10.1%	9.8%

Income Statement Assumptions						
Sales Growth	18.5%	14.2%	-2.7%	3.0%	4.0%	4.0%
Gross Margin	86.4%	85.4%	87.1%	87.1%	87.1%	87.1%
Incremental Gross Margin	86.4%	78.6%	26.4%	87.9%	87.1%	87.1%
SG&A (% of sales) ex-merger c	62.2%	56.4%	56.6%	56.6%	56.6%	56.6%
SG&A Elasticity (3 yr ave)	43.8%	73.8%	73.1%	28.9%	110.5%	100.5%
Margin Impact from SBC	3.7%	2.9%	1.8%	0.0%	0.0%	0.0%
EBITA margin	30.8%	35.4%	37.7%	37.5%	37.2%	36.9%
EBITDA margin	33.3%	38.9%	41.7%	42.6%	43.2%	43.6%
Incremental EBITDA Margin	4.2%	78.3%	-63.2%	72.7%	56.9%	52.6%
GAAP Tax Rate	-4.6%	-2.2%	8.9%	22.0%	22.0%	22.0%
Cash Tax Rate	-4.9%	13.0%	2.9%	22.0%	22.0%	22.0%
Cost of Debt	16.7%	16.4%	9.1%	9.0%	9.0%	9.0%
# of shares issued/(repurchase)	0.8	0.2	0.5	(1.7)	0.0	0.0
Price of shares issued/repurchased				\$1.80	\$1.98	\$2.18

Galaxy Was Managed Well During Deal Period

Galaxy's current CEO joined the company in late 2023. Their CFO joined six months later. About the same time, they agreed to be acquired by EVO. They have managed the company well over the last two years, imho, despite the distractions of trying to close the deal.

1. Sales grew 11% cumulatively from 2023-2025 despite the transition away from perpetual licenses. EBITDA grew 39%. They appear to be on track for mid-single-digit sales growth this year, with additional margin expansion.
2. Recurring revenue has improved from 82% two years ago to 99% today, as they de-emphasized perpetual license sales.
3. Digital has grown double digits, and installed progressive systems have grown 40% in the two years since joining.
4. New products have come to market. Hasbro selected Galaxy exclusively to develop casino games based on Hasbro's trove of board games like Monopoly, Yahtzee, and Battleship.
5. Leverage has been reduced to below 3.0x.
6. The Fortress loan was refinanced on attractive terms.
7. They are now buying back stock. They recently retired all outstanding warrants.
8. SBC has come under control, falling by two-thirds under the new-ish management team.
9. They recently hired a new CTO with 20 years of experience at Light & Wonder.

Competitive Advantages

Based on its sustained high ROIC, Galaxy appears to have at least a small moat via its trademarked brands. Knock-off brands exist, since the games are easy to replicate. Casinos have tried this. It hasn't worked. While a casino can easily copy the game math and rules, it rarely works in practice because of deeply ingrained player habits and operational friction. Players are highly loyal to the exact visual branding. Changing a game's name or layout slightly to an off-brand creates immediate friction with the gambler. If a player feels a game doesn't "look right," they will walk away. The house advantage on a blackjack side bet can be 10x that of blackjack. If table drop falls by just 5%, the savings on licensing fees from going with an off-brand are completely offset.

These are time-tested brands, not fads. They have proven incredibly sticky and hard for casinos to replicate successfully. The biggest competitive threat is probably Light & Wonder bundling side bets with other games like shufflers or slots. Because revenue from these side bets is so small to them and the incremental cost is zero, so they can use them as a discounting mechanism with little negative impact.

Evolution signing a 10-year contract with Galaxy suggests it doesn't see a good alternative. EVO wants these games because their customer base demands them, and they don't see a reasonable alternative.

Also, Galaxy has >140 local gaming licenses, which can take a lot of time and money to replicate.

Galaxy has some patents on game math, but they are hard to enforce and eventually expire. No durable moat via patents imo.

Valuation

On my 2026 estimates, Galaxy trades at 5.7x cash earnings, 5.0x EV/EBITDA, 7.1x P/FCF, and 7.3x EV/NOPAT. It trades at less than half what Evolution, an informed industry participant, agreed to pay for it two years ago. Since then, Galaxy has paid down debt and continued to grow. Despite improved leverage and an unchanged competitive moat, Galaxy's stock sits at all-time lows across valuation metrics.

Because of Galaxy's small size, comps are limited. Light & Wonder and Aristocrat are the closest. Light & Wonder trades at 14.7x '26e EPS and 7.2x estimated EBITDA, while Aristocrat trades at 23.4x '26e EPS and 14.2x estimated EBITDA.

Assuming 5% secular growth, a DCF would put Galaxy's fair P/E at 14-17x (using a range of cost of capital and sustained leverage). At 15x my '26e estimate of economic earnings (which excludes intangible amortization and one-time costs related to the EVO deal), Galaxy would be worth \$4.18, 161% upside. This is equivalent to 9.7x EV/EBITDA, in line with its long-term median. This equates to 14.2x EV/NOPAT, which feels about right.

Scenario Analysis

Assumptions

Normal Sales	\$31.8
Normal Operating Margin	36.9%
Normal EBITDA Margin	43.6%
Normal Tax Rate	22%
Normal EPS	\$0.28

EPS Matrix

EBITDA	-20%	-15%	-10%	-5%	Sales	5%	10%	15%	20%
Margins	\$25	\$27	\$29	\$30	\$32	\$33	\$35	\$37	\$38
34%	\$0.18	\$0.19	\$0.21	\$0.23	\$0.25	\$0.26	\$0.28	\$0.30	\$0.31
35%	\$0.19	\$0.20	\$0.22	\$0.24	\$0.26	\$0.27	\$0.29	\$0.31	\$0.33
36%	\$0.19	\$0.21	\$0.23	\$0.25	\$0.27	\$0.28	\$0.30	\$0.32	\$0.34
37%	\$0.20	\$0.22	\$0.24	\$0.26	\$0.28	\$0.29	\$0.31	\$0.33	\$0.35
38%	\$0.21	\$0.23	\$0.25	\$0.27	\$0.29	\$0.31	\$0.32	\$0.34	\$0.36
39%	\$0.22	\$0.24	\$0.26	\$0.28	\$0.30	\$0.32	\$0.34	\$0.36	\$0.37
40%	\$0.23	\$0.25	\$0.27	\$0.29	\$0.31	\$0.33	\$0.35	\$0.37	\$0.39

Intrinsic Value using P/E

P/E	-40%	-30%	-20%	-10%	EPS	10%	20%	30%	40%
P/E	\$0.17	\$0.19	\$0.22	\$0.25	\$0.28	\$0.30	\$0.33	\$0.36	\$0.39
12.0x	\$1.99	\$2.32	\$2.65	\$2.98	\$3.31	\$3.64	\$3.98	\$4.31	\$4.64
13.0x	\$2.15	\$2.51	\$2.87	\$3.23	\$3.59	\$3.95	\$4.31	\$4.67	\$5.02
14.0x	\$2.32	\$2.71	\$3.09	\$3.48	\$3.86	\$4.25	\$4.64	\$5.02	\$5.41
15.0x	\$2.48	\$2.90	\$3.31	\$3.73	\$4.14	\$4.55	\$4.97	\$5.38	\$5.80
16.0x	\$2.65	\$3.09	\$3.53	\$3.98	\$4.42	\$4.86	\$5.30	\$5.74	\$6.18
17.0x	\$2.82	\$3.28	\$3.75	\$4.22	\$4.69	\$5.16	\$5.63	\$6.10	\$6.57
18.0x	\$2.98	\$3.48	\$3.98	\$4.47	\$4.97	\$5.47	\$5.96	\$6.46	\$6.96

Intrinsic Value using EBITDA Multiple

EBITDA Multiple	-40%	-30%	-20%	-10%	EBITDA	10%	20%	30%	40%
Multiple	\$8	\$10	\$11	\$12	\$13.8	\$15	\$17	\$18	\$19
6.0x	\$0.86	\$1.20	\$1.54	\$1.88	\$2.22	\$2.56	\$2.89	\$3.23	\$3.57
7.0x	\$1.20	\$1.60	\$1.99	\$2.39	\$2.78	\$3.18	\$3.57	\$3.97	\$4.36
8.0x	\$1.54	\$1.99	\$2.44	\$2.89	\$3.35	\$3.80	\$4.25	\$4.70	\$5.15
9.0x	\$1.88	\$2.39	\$2.89	\$3.40	\$3.91	\$4.42	\$4.92	\$5.43	\$5.94
10.0x	\$2.22	\$2.78	\$3.35	\$3.91	\$4.47	\$5.04	\$5.60	\$6.17	\$6.73
11.0x	\$2.56	\$3.18	\$3.80	\$4.42	\$5.04	\$5.66	\$6.28	\$6.90	\$7.52
12.0x	\$2.89	\$3.57	\$4.25	\$4.92	\$5.60	\$6.28	\$6.96	\$7.63	\$8.31



Miscellaneous

Galaxy does not break down fixed vs. variable expenses, but I estimate fixed is roughly 85% and variable is 15%. So in addition to financial leverage, there is also a lot of operating leverage.

The 2023 EVO sales contract guaranteed Galaxy a minimum of €6 million a year for the first four years. The guarantee ends in March 2027, after which payments depend on usage. I believe Galaxy is now exceeding the €6MM threshold. If they were below this threshold, Galaxy would have deferred revenue, which they had up until recently, indicating they crossed the threshold and shouldn't see a dip in payments from EVO unless there is a fundamental reversal. This puts EVO at 60% of Galaxy's digital sales, which makes sense because they are 60% of the online market.

Risks

I tried to address some of the key risks in the body of this report. This is a \$40MM nanocap with \$33MM of floating-rate debt maturing in 2028. Book equity is negative. The stock is illiquid, trades OTCQB, and has no sell-side coverage. They have a 22% customer in EVO. They still have a fair amount of leverage. A distribution contract for a major licensed product renews in 2028. There are risks, many familiar to microcaps.

Debt - all floating rate, matures in January 2028.

Customer Concentration - EVO is 59% of digital sales and 22% of total sales. They are under a long-term contract until May, 2033. EVO is an aggregator for over 800 casino operators. These casinos want Galaxy games. EVO could roll out their own knock-offs, but history says that wouldn't be a good move. The risk/reward doesn't balance for them to do so. But if they did, losing these extremely high-margin digital sales would be a massive setback for Galaxy.

Product Concentration - Galaxy doesn't break out revenue by product, but I suspect the 80/20 rule may apply here, based on a mosaic of information. Specifically, 21+3 is likely a large percentage of total sales.

Contract Expirations - Galaxy has a five-year distribution contract for EZ-Baccarat that expires in September 2028. Talisman owns the IP. While Galaxy risks losing a core revenue stream, Talisman faces massive disruption if it doesn't renew. Because Talisman Group is a tiny, two-person consulting firm, it depends

entirely on a larger partner to physically distribute, maintain, and legally defend its game. Galaxy operates EZ-Baccarat utilizing its proprietary electronic GOS. Galaxy's software drives the table monitors, progressive jackpot tracking, and dealer electronic setups. If Talisman moves to a new distributor, every casino client would have to replace the operating system, physically remove Galaxy's table hardware, and install a competitor's new system. Casinos hate operational downtime.

Talisman Group's history shows they prefer long-term, multi-year exclusive partnerships. Galaxy is Talisman's third distributor over ~20 years. They stayed with their first distributor for about ten years and appear to have switched to Light & Wonder (predecessor) to gain global distribution. They only left L&W when the relationship went south. There are no signs of this with Galaxy. Based on the royalties paid to the owners in 2014, Galaxy has done a great job for them. It is difficult to size EZ-Baccarat as a % of sales, but my best guess is 10-15%.

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Messages

No messages